

Stephanie Pomboy: Did Things Just Get A Whole Lot Worse?

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Speaker Bio

Stephanie Pomboy is founder and president of MacroMavens, an independent macroeconomic research firm she founded in 2002. Former economist at ISI Group, she is known for early calls on the housing bubble, the 2008 credit crisis, and post-COVID inflation persistence. Her research focuses on credit markets, Fed policy transmission, and hard asset cycles. She publishes at [macromavens.com](#).

Executive Summary

Pomboy's core message: the Iran war and oil spike haven't created new problems — they've accelerated and exposed the structural vulnerabilities that were already in place. Pre-war, her two dominant themes for 2026 were rising commodity prices and rising bond yields, both driven by secular forces (Cold War for resources, AI energy demand, dollar diversification, global deficit financing stress). The war amplifies both vectors simultaneously.

The more urgent signal is in credit. Since the Fed began tightening in 2022, the expected credit deterioration has been playing out behind the curtain — in private credit, away from public market visibility. Four years of “extend-and-pretend” (continuation funds, secondaries, toxic ETF packaging) are reaching their terminal innings as write-downs mount and gates close. The critical underappreciated risk is spillover into BBB-rated investment-grade corporates — Oracle, Verizon, AT&T, T-Mobile, CVS, Amgen, Boeing, GM — where one downgrade to junk triggers forced selling by IG funds, creating a cascade.

The bond market is sending an unusual signal post-Iran: 10-year yields rose +22bps rather than falling on flight-to-safety, confirming the global appetite for US Treasuries is near non-existent. The oil shock is also arriving precisely during peak tax refund season, which could fully monetize the price increase through consumer spending — feeding CPI persistence that constrains the Fed's ability to cut.

PM implication: Stay long hard assets — gold, miners, energy; these are the highest conviction calls. Avoid leveraged IG credit; monitor BBB-rated names (Oracle, Verizon, AT&T, GM, Boeing) for downgrade risk. Long volatility remains the most defensible hedge — still cheap. Fade legacy enterprise software only selectively; potential relief rally in beaten-down software (Oracle, etc.) if war proves short. Watch 10Y yield trajectory and HYG/LQD spread widening as lead indicators for credit cascade. Do NOT rely on public credit spread data to signal private credit stress — the opacity gap is real.

Listen or Skip?

Verdict: Must-listen for macro/credit traders — rare early warning on BBB IG cascade risk with hard timeline context

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★☆
Novel insights	★★★☆☆
Production quality	★★★☆☆

Best for: Macro PMs, credit traders, hard asset investors **Skip if:** Looking for equity stock picks or tactical short-term trades

Key Quotes

1. *"The vulnerabilities have always been there. The markets have been flying blind, like Icarus toward the sun for a long time. And their wings are now starting to melt a little bit under that heat."*
2. *"It would be a huge mistake to assume that these issues are strictly private credit related — they don't obtain to the broader credit market itself in the publicly traded securities."*
3. *"The 10-year was up 22 basis points post-Iran. Normally you'd expect a minus sign in front of that number, not a plus sign."*
4. *"More than half of the investment grade market is triple B, which is one downgrade to junk. If we got into a situation where those companies actually did get downgraded, it would be a fire sale because investment grade funds would have to dump all of that paper."*
5. *"The timing of this is very interesting because it's coming precisely as this wave of tax refunds is going out. That gives consumers a cushion with which to absorb the increase in gasoline prices — it could monetize the increase and flow totally through to CPI."*
6. *"They've been kind of doing extended pretend games to keep it together long enough to get to the point where we got some interest rate relief. We're going on four years now — they've launched continuation funds, done secondaries, launched ETFs packaging all their toxic stuff to unload on the unsuspecting retail public."*

1) Executive Dashboard (PM Read)

Dimension	Signal	Direction
Macro regime	War-amplified stagflation risk	↑ Deteriorating
Credit spreads	Modest widening; private>public lag	↑ Widening
10Y Treasuries	+22bps post-Iran (no flight-to-safety)	↑ Bearish
Private credit	Final innings of extend-and-pretend	⚠ Crisis risk
BBB IG spillover	Oracle, VZ, T, GM, Boeing at risk	⚠ Watch closely
Oil	War-driven spike; IEA 400MB release signaled	→ Volatile
CPI trajectory	Tax refunds monetizing oil spike	↑ Upside surprise
Consumer sentiment	Gasoline price threshold at \$3/gallon	↓ Declining
Dollar/petrodollar	Gulf States consolidating around US	→ Near-term stabilized
Hard assets (gold/miners)	Secular tailwinds accelerating	↑ Stay long

Key watch: 10Y yield trajectory. Any move above recent range will stress the refinancing wall — \$1.2T in debt maturing this year.

2) Key Investable Insights

Top 4 Investable Ideas:

1. **BBB-rated IG is the hidden time bomb** — Oracle, Verizon, AT&T, T-Mobile, CVS, Amgen, Boeing, GM are all BBB. One credit event triggers forced selling by IG funds. Public credit spreads are NOT reflecting this risk because private credit opacity has masked the deterioration since 2022. Monitor for any of these names showing operating stress.

2. **Long volatility — still the right hedge** — Pomboy added vol exposure months ago. It is still cheap relative to the risk landscape. War, credit stress, oil — all argue for sustained elevated vol. Position before a credit cascade materializes.
3. **Hard assets: gold, miners, energy** — The secular thesis (Cold War for resources, AI energy demand, de-dollarization, EM diversification away from Treasuries) is only strengthening. Pomboy has been nibbling energy. Oil price volatility creates entry windows in quality energy names.
4. **Potential relief rally in beaten-down enterprise software** — If war proves short, software names (Oracle, others) that got destroyed on AI-disruption fears could see substantial bounces. The AI threat to enterprise software is overstated in the near-to-mid term; mission-critical code doesn't get replaced by yesterday's AI output.

3) Transmission & Cross-Asset Map

Iran War

- ↳ Oil spike (\$120 intraday)
 - ↳ Tax refund season monetizes increase → CPI spike → Fed constrained
 - ↳ Business cost increase → corporate margin compression
 - ↳ Consumer confidence decline (gasoline > \$3 threshold)

No flight-to-safety bid in Treasuries (+22bps 10Y)

- ↳ Global Tsy demand near non-existent
 - ↳ Gulf States redirecting petrodollars to reconstruction, not Tsys
 - ↳ Deficit financing stress accelerating

Private credit write-downs / fund gates

- ↳ Extend-and-pretend ending (4 years in)
 - ↳ Spillover risk to BBB IG (>50% of IG market)
 - ↳ Forced selling cascade if any major BBB downgraded to junk
 - ↳ Risk-off in equities → reverse wealth effect → recession

Gulf States / De-dollarization: War consolidating Saudi, UAE around US. May reduce urgency of BRICS petrodollar pivot — but does NOT solve US deficit financing structural problem.

4) Regime & Scenario Analysis

Base Case (war resolves within months): - Oil retreats, consumer confidence recovers pre-October (midterm-sensitive) - Credit stress stays contained in private credit; no BBB cascade - Hard assets continue outperforming; software relief rally materializes - Fed cuts modestly; yields drift lower - **Allocation:** Long gold/miners/energy, selective enterprise software on dips, long vol

Bear Case (war prolonged + oil stays elevated): - CPI re-accelerates; Fed frozen - BBB IG credits downgraded → fire sale → credit cascade - Equity valuations at extremes → 2008/2009-style correction - Reverse wealth effect → recession - Deficit explodes → QE infinity re-emerges - **Allocation:** Max hard assets, cash, defensive; short IG credit ETFs (LQD); long vol

Bull (Peace Dividend) Case (regime change Iran + Russia peace + sanctions unwound): - Peace dividend potentially replaces globalization dividend of past 40 years - Low commodity prices, low rates, low inflation possible - BUT: extreme leverage levels mean navigating to this scenario is treacherous - Pomboy: "wonderful in the abstract" — but deficits and debt levels prevent clean execution - Would require complete rethink of hard asset allocation

5) Hard Data & Verifiable Claims

- **Data:** 10Y Treasury yield +22bps post-Iran engagement (flight-to-safety bid absent)
- **Data:** HYG down 0.6% post-Iran; LQD down 1.2% (IG underperforming HY — unusual)
- **Data:** \$1.2 trillion in debt maturities in 2026
- **Data:** BBB-rated IG = >50% of the investment grade market
- **Claim:** BBB-rated companies include Oracle, Verizon, AT&T, T-Mobile, CVS, Amgen, Boeing, GM
- **Data:** Egan Jones under SEC investigation; rated 3,000 companies with ~13 staff
- **Claim:** February payrolls: -92,000 (approx. 6-sigma miss vs. expectations)
- **Claim:** IEA signaling release of 400M barrels from strategic reserve
- **Claim:** China buys 90% of Iran's oil; currently cut off
- **Claim:** Oil spiked to ~\$120/barrel in overnight market at start of Iran engagement

- **Data:** University of Michigan sentiment tracks retail gasoline prices near 1:1 in post-COVID era; \$3/gallon = inflection point

6) BS & Bias Filter

Credibility: - Pomboy has a strong 20+ year track record calling credit cycles (housing bubble, 2008, COVID inflation). The private credit warning is not new — she has flagged it since 2022, and her thesis is now being validated by fund gates and write-downs. - Structural argument (BBB cascade, no Tsy safe-haven bid, oil/CPI timing) is original and specific — not generic market commentary.

Limitations/Caveats: - War outcome is unknowable; timing calls depend on geopolitics that neither Pomboy nor anyone else can reliably forecast. - The “extend-and-pretend ending in final innings” call has been made for 2+ years without a systemic blow-up yet — bear in mind the market can stay irrational longer. - Enterprise software relief rally thesis is Adam’s, not Pomboy’s; she didn’t strongly endorse it. - Political/midterm timing logic (oil must come down by October) is speculative framework.

No obvious self-promotion or product placement beyond standard newsletter/conference mentions.

7) PM Bottom Line

Pomboy’s framework is clear and internally consistent: the war has not reset the thesis — it has accelerated two pre-existing forces (commodity prices up, bond yields up) while exposing latent credit fragility. The most underappreciated trade: the BBB IG cascade risk. Spreads haven’t blown out yet, but the private credit opacity means the damage is already done — it just hasn’t hit the public market yet.

Highest conviction: Hard assets (gold, miners, energy). Long volatility. Underweight credit, especially BBB IG. Cash is still large in Pomboy’s own allocation.

Key triggers to watch: 1. 10Y yield trajectory — sustained move higher accelerates debt wall refinancing stress 2. BBB downgrade events (Verizon, AT&T, Boeing) — fire-sale trigger 3. Gasoline prices vs \$3/gallon level — leading indicator for consumer confidence and Fed political pressure 4. Private credit fund gates / write-down announcements — rate of acceleration